

How do stocks and bonds perform relative to various inflation regimes? And what about real interest rates?

Stocks and bonds perform best when inflation is below about 3%. Above 5% inflation and returns fall off a cliff.

The opposite goes for real interest rates, stocks and bonds love rates above 3%. While stocks hold up okay with lower real interest rates, bonds get clobbered.

FIGURE 48 – Stock and Bond Real Returns vs. Inflation and Interest Rate Regimes

Real bond and equity returns vs. inflation rates, 1900–2011

Source: Elroy Dimson, Paul Marsh, and Mike Staunton

